EMPLOYEE LOAN POLICY

DOCUMENT HISTORY	
Document Number	AGPL-PE-009
Department	People Excellence
Prepared by	Sr.HR Business Partner
Reviewed by	Director-People Excellence
Approved by	CEO & MD
Issue Date	5 Oct 24
Review Date	6 Oct 24
Approved Date	8 Oct 24
Revision	AGPL-PE-009 v.0

REVISION HISTORY

Issue/Revision		Date	Brief Description of Revision	Author's Sign	Approver's Sign
From	To				
-	v.0		New Policy		

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1. Purpose

The Employee Loan policy serves as a welfare measure to assist employees in managing significant personal expenditures, such as:

- Education
- Hospitalization (for self or family)
- Death in the family
- Marriage (self)

2. Eligibility

This policy is applicable to all employees who have completed a minimum of **two years of service** with the company.

3. Approval Process

- **Recommendation**: A recommendation must be provided by the employee's department head and People Excellence head.
- **Final Approval**: The management reserves the right to approve the advance or loan based on the submitted recommendation.

4. Loan Amount and Tenure

The eligibility for the loan amount is based on the tenure of the employee's service, as outlined below:

Years of Service	Eligibility Amount
2 - 5 Years	₹30,000- or 1-Month Gross Salary*
5.1 - 10 Years	₹50,000- or 1-Month Gross Salary*
10.1 - 15 Years	₹75,000- or 1-Month Gross Salary*
Above 15.1 Years	₹1,00,000- or 1-Month Gross Salary*

* Whichever is lower.

5. Repayment Terms

- The loan is repayable in **12 continuous equal monthly instalments**.
- **Deduction**: The monthly repayment will start from the month in which the loan is drawn.
- **No Breaks in Instalments**: There shall be no breaks allowed in the instalment schedule.

6. General Conditions

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- **Proof of Expenditure**: Employees must provide valid documentation to justify the expenditure for which the loan is being applied.
- **Non-Utilization**: If the loan is not used for the stated purpose, it must be repaid immediately.
- **Resignation**: If an employee resigns before fully repaying the loan, the remaining balance must be cleared before the employee's exit from the company.
- **Single Loan Rule**: Employees cannot apply for a second loan if they already have an outstanding loan. However, in emergencies, prior approval may allow the employee to close the previous loan and apply for a new one.
- **Attendance and Performance**: The employee's attendance record and performance will be reviewed before loan approval.

7. Special Provisions for Medical Loans

- If the loan is for medical purposes and the employee is eligible for an insurance claim through Mediclaim Policy:
    - The loan should be repaid upon receiving the insurance claim money.
    - If the loan amount exceeds the insurance claim, the employee must immediately repay the differential.
    - If the insurance settlement is lower than expected, the remaining amount must be repaid within a maximum of **8 months** from the settlement date.

8. Document Requirements

All loan applications must be supported by documents that verify:

- The eligibility of the employee for the loan.
- The specific purpose of the loan (such as medical bills, tuition fees, etc.).

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